

Amendment No. 1 to SB1813

Bailey
Signature of Sponsor

AMEND Senate Bill No. 1813*

House Bill No. 2427

by deleting all language after the caption and substituting:

WHEREAS, the use of gold and silver as a medium of exchange has a historical basis in fostering economic stability and individual liberty; and

WHEREAS, the Constitution of the United States under Article 1, Section 10 allows for the states to declare gold and silver legal tender for use in payment of debts, taxes, fees, and other obligations; and

WHEREAS, recognizing gold and silver as legal tender promotes economic justice by allowing citizens of every economic status access to the ability to preserve their wealth by hedging against inflation with precious metals; and

WHEREAS, establishing mechanisms for the use of precious metals in transactions enhances the State's economic resilience; now, therefore,

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 9, Chapter 4, is amended by adding the following as a new part:

9-4-1601.

This part is known and may be cited as the "Transactional Gold and Silver Act."

9-4-1602.

As used in this part:

(1) "Bullion" means precious metals, that are formed into uniform shapes and quantities such as ingots, bars, or plates, with uniform content and purity, as is suitable for or customarily used in the purchase, sale, storage, transfer, and

delivery of bulk or wholesale transactions in precious metal, and is valued primarily based on its metal content and not on its form or function;

(2) "Depository" means an entity providing vault facilities within the United States for the storage of precious metal bullion and specie that:

(A) Complies with the prescribed London Bullion Market Association or equivalent best practice guidelines; and

(B) Has a contractual relationship to provide services for deposits of specie for the electronic transfer of transactional silver and gold;

(3) "Electronic transfer":

(A) Means an instruction, other than a transaction by check, draft, or similar paper instrument, which is initiated through debit card, mobile application, or computer to order, instruct, or authorize a financial institution or money transmitter service to debit or credit an account with specie or any fraction thereof, or the equivalent coin or currency of the United States or foreign currency converted at current market price; and

(B) Includes an instruction in a debit card transaction that authorizes the debit or credit of an account in a single, integrated step at the point of sale;

(4) "Legal tender" means a medium of exchange for the payment of debts, taxes, fees, and other obligations that may be accomplished through the transfer of transactional silver and gold or the exchange of physical specie;

(5) "Person" means an individual, corporation, partnership, trust, association, organization, or another business entity, or this state or a political subdivision of this state;

(6) "Precious metal" means gold or silver; and

(7) "Specie" means precious metal bullion of uniform shape, size, and design, that is imprinted with its content, weight, and purity, suitable for or

customarily used as currency, a medium of exchange, or the medium for purchase, sale, storage, transfer, or delivery of precious metals in retail or wholesale transactions, and that has intrinsic value.

9-4-1603.

- (a) Specie is recognized as legal tender in the state.
- (b) Unless specifically required by law or by contract, a person is not required or compelled to accept specie as legal tender for goods or services.
- (c) Specie may be used as legal tender for the payment of:
 - (1) Debts between private parties, if mutually agreed upon by the parties;
and
 - (2) Taxes, fees, or other obligations owed to this state or a political subdivision of this state, if:
 - (A) This state agrees to accept specie as legal tender through the written approval of the commissioner of revenue; or
 - (B) The political subdivision agrees to accept specie as legal tender with the written approval of the commissioner of revenue, in consultation with the state treasurer and comptroller of the treasury.
- (d) Specie used as legal tender is not personal property for taxation or regulatory purposes.
- (e)
 - (1) The purchase, sale, or exchange of any type or form of specie does not result in or create tax liability.
 - (2) The exchange of one (1) type or form of legal tender for another type or form of legal tender shall not give rise to any tax liability.

9-4-1604.

The commissioner of revenue may:

- (1) Regulate depositories; and

- (2) Promulgate rules for the regulation of bullion depositories.

SECTION 2.

(a) For the purposes of promulgating rules, this act takes effect upon becoming law, the public welfare requiring it.

(b) For all other purposes, this act takes effect July 1, 2027, the public welfare requiring it.